GALIFORM CORPORATE SERVICES LIMITED

DIRECTORS' REPORT AND FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 29 DECEMBER 2007

REGISTERED NUMBER: 1767386

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GALIFORM CORPORATE SERVICES LIMITED
DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the 52 weeks to 29 December 2007 (2006 53 weeks to 30 December 2006)

BUSINESS REVIEW AND PRINCIPAL ACTIVITIES

The company is a wholly owned subsidiary of Galiform Plc, and operates as part of the Galiform Plc's Corporate division The company's principal activities are providing various corporate and Information Technology services to other member companies of the Galiform Plc group The directors are not aware, at the date of this report, of any likely major changes in the Company's activities in the next year

The loss for the financial period as shown in the profit and loss account amounted to £13,042,000 (2006 loss of £42,644,000) after exceptional profit of £4,300,000 (2006 exceptional profit of £13,618,000) The directors recommend that no dividend be paid The directors are satisfied with the progress of the business

The balance sheet shows the Company's financial position at the end of the period Details of amounts owed to the parent company are shown in note 11

The Galiform Plc group ("the Group") manages its operations on a divisional basis For this reason, the Company's directors believe that further key performance indicators specific to the Company are not necessary or appropriate for an understanding of the development, performance or position of the business The performance of the corporate division of Galiform Plc, which includes the Company, is discussed in the Group's Annual Report, which does not form part of this report

The Company, as part of the Group, recognises the importance of its environmental responsibilities, monitors its impact on the environment, and designs and implements policies to reduce any damage that might be caused by the group's activities The Company operates in accordance with Group policies, which are described in the Group's Annual Report, which does not form part of this Report

PRINCIPAL RISKS AND UNCERTAINTIES

The Company is financed by a loan from its ultimate parent and has no third party debt It therefore has no interest rate exposure

The Group's risks are discussed in the Group's Annual Report, which does not form part of this Report

EMPLOYEES

Details of the number of employees and related costs can be found in notes 4 and 5 to the financial statements

Applications for employment by disabled persons are always fully considered, bearing in mind the aptitudes of the applicant concerned In the event of members of staff becoming disabled, every effort is made to ensure that their employment with the company continues and that appropriate training is arranged It is the policy of the Company that the training, career development, and promotion of disabled persons should, as far as possible, be identical with that of other employees

The Company participates in the Group's policies and practices to keep employees informed on matters relevant to them as employees through regular meetings Employee representatives are consulted regularly on a wide range of matters affecting their interests

DIRECTORS

The directors of the Company who served throughout the period, except as noted were

M Ingle
J McManus
M Robson
G Hughes

DIRECTORS (cont'd)

No director held any beneficial interest in the shares of the Company or any other Group company at any time during the period, with the exception of the following

Beneficial interests of the directors, including family interests, in the share capital of the ultimate holding company, Galiform Plc at 29 December 2007 and 30 December 2006 are disclosed in the accounts of that Company except those set out below

	At 29 December 2007 Ordinary shares of 10p each			At 30 December 2006 Ordinary shares of 10p each		
	Shares in issue	Share options	Awards*	Shares in issue	Share options	Awards*
J McManus	431,000	920,753	491,862	428,033	1,575,614	377,125

* Conditional share awards under performance share plan and Foundation Plan 2006

The options outstanding are exercisable at prices between 92p and 124 75p

J McManus also held a beneficial interest in the Galiform Sharesave scheme in common with all members of the scheme At the year end, the scheme held 936,136 shares *(2006 1,940,063 shares)*

J McManus also held a beneficial interest in the Galiform All Employee Share Incentive Plan in common with all members of the scheme At the year end, the scheme held 574,406 shares *(2006 941,942 shares)*

SUPPLIER PAYMENT POLICY

It is the Company's policy, in relation to all its suppliers, to settle its terms of payment when agreeing the terms of the transaction and to abide by those terms provided that it is satisfied that the supplier has provided the goods or services in accordance with agreed terms and conditions The Company does not follow any code or standard on payment practice, but it is the Company's policy to pay all its suppliers within 30 days of the end of the month in which it receives the invoice

The Company pays trade creditors on behalf of both itself and other group companies The number of days purchases outstanding for payment when taking into account the payments both for this company and for other group companies at the period end was 20 days *(2006 20 days)*

POLITICAL AND CHARITABLE CONTRIBUTIONS

The Company made charitable donations during the period amounting to £0 *(2006 £74,600)* The company made no political donations during the current or previous period

AUDITORS

Each of the persons who is a director at the date of approval of this annual report confirms that

- so far as the directors are aware, there is no relevant audit information of which the company's auditors are unaware,
- the directors have taken all the steps they ought to have taken as directors in order to make themselves aware of any relevant audit information and to establish that the company's auditors aware of that information

The confirmation is given and should be interpreted in accordance with the provisions of s234ZA of the Companies Act 1985

Pursuant to a shareholders' resolution, the Company is not obliged to re-appoint its auditors annually and Deloitte & Touche LLP will therefore continue in office

REGISTERED OFFICE

The Company's registered office is International House, 66 Chiltern Street, London, W1U 4JT

GALIFORM CORPORATE SERVICES LIMITED
DIRECTORS' REPORT AND BUSINESS REVIEW (Cont'd)

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The directors are responsible for preparing the financial statements in accordance with applicable law and regulations

Company law requires the directors to prepare financial statements for each financial year Under that law, the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law) The financial statements are required by law to give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period In preparing these financial statements, the directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgements and estimates that are reasonable and prudent,
- state whether applicable accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements, and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business

The directors are responsible for keeping proper accounting records, which disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 1985 They are also responsible for the system of internal control, safeguarding the assets of the company and hence for taking responsible steps for the prevention and detection of fraud and other irregularities

By Order of the Board

C Bishop
Secretary

28th October 2008

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF GALIFORM CORPORATE SERVICES LIMITED

We have audited the financial statements of Galiform Corporate Services Ltd for the 52 weeks ended 29 December 2007 which comprise the Profit and Loss Account, Balance Sheet and the related notes 1 to 21 These financial statements have been prepared under the accounting policies set out therein

This report is made solely to the company's members, as a body, in accordance with section 235 of the Companies Act 1985 Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditors' report and for no other purpose To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed

Respective responsibilities of directors and auditors

The directors' responsibilities for preparing the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice) are set out in the Statement of Directors' Responsibilities

Our responsibility is to audit the financial statements in accordance with relevant legal and regulatory requirements and International Standards on Auditing (UK and Ireland)

We report to you our opinion as to whether the financial statements give a true and fair view and are properly prepared in accordance with the Companies Act 1985 We also report to you whether in our opinion the information given in the Directors' Report is consistent with the financial statements

In addition we report to you if, in our opinion, the company has not kept proper accounting records, if we have not received all the information and explanations we require for our audit, or if information specified by law regarding directors' remuneration and other transactions is not disclosed

We read the Directors' Report and consider the implications for our report if we become aware of any apparent misstatements within it

Basis of audit opinion

We conducted our audit in accordance with International Standards on Auditing (UK and Ireland) issued by the Auditing Practices Board An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements It also includes an assessment of the significant estimates and judgements made by the directors in the preparation of the financial statements, and of whether the accounting policies are appropriate to the company's circumstances, consistently applied and adequately disclosed

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or other irregularity or error In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements

Opinion

In our opinion

- the financial statements give a true and fair view, in accordance with United Kingdom Generally Accepted Accounting Practice, of the state of the company's affairs as at 29 December 2007 and of its loss for the period then ended,
- the financial statements have been properly prepared in accordance with the Companies Act 1985, and
- the information given in the Directors' Report is consistent with the financial statements

Deloitte & Touche LLP

Deloitte & Touche LLP
Chartered Accountants and Registered Auditors

London
28th October 2008

GALIFORM CORPORATE SERVICES LIMITED
PROFIT AND LOSS ACCOUNT
FOR THE 52 WEEKS ENDED 29 DECEMBER 2007

		52 weeks to 29 December 2007			53 weeks to 30 December 2006 restated (note 21)		
	Notes	Before Exceptional Items £'000	Exceptional Items (note 3) £'000	Total 2007 £'000	Before Exceptional Items £'000	Exceptional Items £'000	Total 2006 £'000
Turnover:							
Continuing operations (UK)		22,844	-	22,844	28,591	-	28,591
Discontinued operations (UK)		-	-	-	334,080	-	334,080
		22,844	-	22,844	362,671	-	362,671
Cost of Sales		-	-	-	(141,705)	-	(141,705)
Gross profit		22,844	-	22,844	220,966	-	220,966
Selling and administrative costs		(44,050)	(2,100)	(46,150)	(306,139)	(60,836)	(366,975)
Operating loss:							
Continuing Operations		(21,206)	(2,100)	(23,306)	(20,015)	(60,836)	(80,851)
Discontinued Operations		-	-	-	(65,158)	-	(65,158)
Cost of a fundamental restructuring of the discontinued operations	3				-	(14,600)	(14,600)
Other discontinued exceptionals	3	-	(11,100)	(11,100)	-	-	-
Profit on disposal of trading unit		-	-	-	-	39,500	39,500
Profit on disposal of fixed assets		760	-	760	-	(12,946)	(12,946)
Profit on disposal of investments		-	-	-	-	62,500	62,500
Loss on ordinary activities before finance charges		(20,446)	(13,200)	(33,646)	(85,173)	13,618	(71,555)
Interest receivable and similar income		66	-	66	26	-	26
Interest payable and similar charges		(111)	-	(111)	(220)	-	(220)
Loss on ordinary activities before taxation		(20,491)	(13,200)	(33,691)	(85,367)	13,618	(71,749)
Tax credit on loss on ordinary activities	7	3,149	17,500	20,649	29,105	-	29,105
Loss for the period		(17,342)	4,300	(13,042)	(56,262)	13,618	(42,644)

The results for the period to 30 December 2006 have been restated, following the adoption of FRS20 "Share-based payment" during the current period Details of the restatement are given in note 21
There are no recognised gains or losses in the current or preceding financial periods other than as stated in the profit and loss account and therefore no statement of recognised gains and losses has been presented

GALIFORM CORPORATE SERVICES LIMITED
BALANCE SHEET AT 29 DECEMBER 2007

	Notes	29 December 2007 £000	29 December 2007 £000	30 December 2006 - restated (note 21) £000	30 December 2006 - restated (note 21) £000
Fixed assets					
Tangible assets	8		**14,101**		12,975
Investments	9		**48,473**		53,656
			62,574		66,631
Current assets					
Stocks		-		-	
Debtors	10	**447,805**		386,638	
Cash at bank		**112**		983	
		447,917		387,621	
Creditors : amounts falling due within one year					
Creditors	11	**(787,312)**		(719,456)	
				(719,456)	
Net current liabilities			**(339,395)**		(331,835)
Total assets less current liabilities			**(276,821)**		(265,204)
Creditors : amounts falling due after more than one year					
Creditors	11		**(1,936)**		-
Provisions for liabilities and charges	12		**(13,199)**		(16,698)
Net liabilities			**(291,955)**		(281,902)
Capital and reserves					
Share capital	14		**12,358**		12,358
Profit and loss account	15		**(315,089)**		(302,047)
Shared Based Payment	15		**10,776**		7,787
Equity shareholders' deficit			**(291,955)**		(281,902)

The position at 30 December 2006 has been restated, following the adoption of FRS20 "Share-based payment" during the current period Details of the restatement are given in note 21

Approved by the Board of Directors on 28th October 2008

G Hughes
Director

GALIFORM CORPORATE SERVICES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE 52 WEEKS ENDED 29 DECEMBER 2007

1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current and the preceding periods The Company has adopted FRS20 "Share-based payment" during the period As required, the Company has adopted this Financial Reporting Standard with retrospective effect, and so the results and positions for the previous period have been restated Full details of the restatement are given in the share-based payment note

BASIS OF PREPARATION

The financial statements are prepared under the historical cost convention and in accordance with applicable United Kingdom accounting standards

Under Financial Reporting Standard 1, the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Galiform Plc, formerly MFI Furniture Group Plc

The financial statements include the results for the 52 week period ended 29 December 2007 *(2006 53 weeks to 30 December)*, being the Saturday nearest to the Company's accounting reference date of 30 December

The Company is exempt from the requirement to prepare Group financial statements under s228 of the Companies Act 1985 since its results are included in the consolidated financial statements of its ultimate parent company, Galiform Plc, formerly MFI Furniture Group Plc Accordingly these accounts present information about the company as an individual undertaking and not its group

TURNOVER

In 2007 the continuing turnover represents the gross recharge to other group companies In 2006 the discontinued turnover represented the net value of goods sold or services delivered to customers excluding value added tax and other sales taxes In 2006 the continuing turnover represents the gross recharge to other group companies

TANGIBLE FIXED ASSETS

Fixed assets are stated at cost net of accumulated depreciation or provision for impairment Depreciation is provided to write off the cost less any residual value of tangible fixed assets over their estimated useful lives as follows

Plant and machinery, fixtures and fittings	10% - 25% p a
Motor vehicles	20% - 25% p a
Leasehold Properties	Over the life of lease

INVESTMENTS

Trade investments and loans, and shares in subsidiary companies, are stated at cost less any provision for impairment Investments in shares in ultimate parent are shares held by employee share ownership trusts, and are recorded at cost, including expenses, less amounts written off Amounts written off these shares are calculated so as to charge the cost of the shares to profit and loss over the period of the underlying share options or awards

TAXATION

UK Corporation tax is provided at amounts expected to be paid or recovered, using tax rules and laws that have been enacted or substantially enacted by the balance sheet date

Deferred taxation is provided on a full provision basis, without discounting, on all timing differences which have arisen but not reversed at the balance sheet date Except where otherwise required by Accounting Standards no timing differences are recognised in respect of

(a) property revaluation surpluses where there is no commitment to sell the asset,
(b) gains on sale of assets where those assets have been rolled over into replacement assets, and
(c) additional tax which would arise if profits of overseas subsidiaries were distributed, and deferred tax assets to the extent that they are regarded as not likely to be recovered

1. ACCOUNTING POLICIES (Cont'd)

FOREIGN CURRENCY

Transactions denominated in foreign currencies are translated into sterling and recorded at the rate of exchange ruling at the date of the transaction

Assets and liabilities denominated in foreign currencies are translated into sterling at rates ruling at the balance sheet date Foreign exchange profits and losses arising during the period are included in loss on ordinary activities before taxation

LEASED ASSETS

Leases are classified as finance leases when the terms of the lease transfer substantially all the risks and rewards of ownership to the Group All other leases are classified as operating leases For property leases, the land and building elements are treated separately to determine the appropriate lease classification

Finance leases

Assets funded through finance leases are capitalised as property plant and equipment, and depreciated over their estimated useful lives or the lease term, whichever is shorter The amount capitalised is the lower of the fair value of the asset or the present value of the minimum lease payments during the lease term at the inception of the lease The resulting lease obligations are included in liabilities net of finance charges Finance costs on finance leases are charged directly to the income statement

Operating leases

Assets leased under operating leases are not recorded on the balance sheet Rental payments are charged directly to the income statement

Lease incentives

Lease incentives primarily include up-front cash payments or rent-free periods Lease incentives are capitalised and spread over the period of the lease term

Leases with predetermined fixed rental increases

The Group has a number of leases with predetermined fixed rental increases These rental increases are accounted for on a straight-line basis over the period of the lease term

PENSIONS

i) Defined benefit pension schemes

The Company participates in its parent company (Galiform Plc)'s group retirement benefit schemes This is a defined benefit arrangement, operating through two multi-employer defined-benefit schemes The assets and liabilities of the schemes are held separately from those of the Galiform Group The company is unable to identify its share of the underlying assets and liabilities of the schemes and accordingly accounts for the schemes as if they were defined contribution schemes This is in line with the guidance in FRS 17 relating to group defined benefit pension schemes

ii) Defined contribution pension schemes

During the 52 weeks to 29 December 2007, the Galiform Group began to operate a defined contribution scheme for its employees For defined contribution schemes, the amount charged to the profit and loss account in respect of pension costs and other post-retirement benefits is the contributions payable in the year Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments in the balance sheet

SHARE-BASED PAYMENTS

The Company has adopted FRS 20 "Share-based payment" in the current period In accordance with the transitional provisions, FRS 20 has been applied to all grants of equity instruments after 7 November 2002 that were unvested as of 25 December 2005

The Company issues equity-settled share-based payments to certain employees, based on the shares of its ultimate parent company Galiform PLC Equity-settled share-based payments are measured at fair value at the date of grant The fair value determined at the grant date of the equity-settled share based payments is expensed on a straight-line basis over the vesting period, based on the Group's estimate of shares that will eventually vest

1 ACCOUNTING POLICIES (cont'd)

SHARE-BASED PAYMENTS (cont'd)

Fair value is measured by use of a binomial model The expected life used in the model has been adjusted, based on management's best estimate, for the effects of non-transferability, exercise restrictions, and behavioural considerations

2. LOSS ON ORDINARY ACTIVITIES BEFORE TAXATION

Loss on ordinary activities before taxation is stated after charging/(crediting)

	29 Dec 2007	30 Dec 2006
	£000	£000
Auditors' remuneration – audit services	25	428
– other tax services	30	329
Depreciation and other amounts written off fixed assets		
- owned assets	6,191	21,819
Hire of plant and machinery – operating lease rentals	1,950	7,734
Rent payable on property	13,575	44,378

The auditors' remuneration for audit and other tax services in 2006 relates to all the Galiform group companies The audit fee for Galiform Corporate Services Ltd was £25,000 *(2006 £248,000)*

3 EXCEPTIONAL ITEMS

	Other operating expenses	Administration expenses	Total
Continuing Operations:	£000	£000	£000
Group Restructuring (see note 3a)	-	3,171	3,171
Other loss on disposal	(1,099)	-	(1,099)
Total Charged to Operating Profit			**2,072**
Tax Credit on exceptional items in continuing operations			(983)
Total operating exceptional items after tax			**1,089**
Exceptional tax credit (see note 3b)			(14,423)
Net exceptional items in continuing operations			**(13,334)**
Discontinued Operations:			
Business Rates and other property costs (see note 3c)			7,094
Professional Fees associated with discontinued operations			4,000
Total discontinued exceptional items before tax			**11,094**
Tax Credit on discontinued operations			(2,100)
Net exceptional items in discontinued operations			**8,994**
Total exceptional items before tax			**13,166**
Tax on exceptional items			**(3,083)**
Exceptional tax credit			**(14,423)**
Total exceptional items after tax			**(4,340)**

GALIFORM CORPORATE SERVICES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE 52 WEEKS ENDED 29 DECEMBER 2007

3 (a) Restructuring - 2007

The IT restructuring involves relocating and restructuring the IT department, in response to the new business structure of the continuing group The costs of restructuring comprise the following items

	£000
IT restructuring	
- redundancies and other staff costs	1,163
- asset write offs	1,563
- systems separation	445
Total restructuring costs before tax	3,171
Tax credit on restructuring costs	983
Total restructuring costs after tax	2,188

3 (b) Exceptional tax credit

As the financial conditions of the Group has improved significantly over the period, the deferred tax asset of £14 4m has now been recognised Given the size and one- off nature, this deferred credit has been treated as an exceptional item

3 (c) Discontinued operations - business rates and property costs

A change to the law regarding business rates on vacant properties has been substantially enacted during the period Prior to the change, there were no business rates to pay for the first three months that a property was empty, and then there was a business rates exemption of 50% for retail properties and 100% for warehouses Following the change, there is still an exemption for the first three months for all properties, and six months for industrial and warehouse properties, but after that time companies now have to pay business rates at 100% for all properties The amount provided in this period relates primarily to business rates on properties which were part of the Group's former MFI Retail operations, which were discontinued in 2006 On the disposal of the MFI Retail operations, the continuing Group remained the ultimate guarantor for these properties and made such provision for rent payable in empty periods as was considered necessary at the time That provision was included in the £31 7m item "Exceptional provisions on disposal of MFI Retail Limited" included in the 2006 accounts and shown in the 2006 comparative figures below Of the total £7 1m charged in the period, £5 6m relates to business rates, while the balance relates to other related property expenses There is an associated tax credit of £2 1m

4. STAFF NUMBERS AND COSTS

The average number of persons (excluding directors) employed by the Company during the period was

	29 Dec 2007	30 Dec 2006
	No.	No
Management and administration	49	202
Production, distribution and sales	-	6,482
	49	6,684

The aggregate payroll costs of these persons were as follows	29 Dec 2007 £000	30 Dec 2006 £000
Wages and salaries	10,238	117,973
Social security costs	1,538	9,191
Other pension costs	9,437	12,150
Share-based payments	2,989	(1,555)
	24,202	135,919

The numbers above include a net charge of £2,989,530 *(2006 net charge of £1,555,000)* in respect of share incentive schemes in 2006

5. REMUNERATION OF DIRECTORS

The emoluments of the directors were as follows

	29 Dec 2007 £000	30 Dec 2006 £000
Directors' emoluments	1,855	2,500
Pension costs	116	41
	1,971	2,026

The aggregate emoluments of the highest paid director in the 52 weeks to 29 December 2007 were £1,050,600 *(53 weeks to 30 December 2006 were £1,185,000)*

Based on normal retirement age the accrued pension of the highest paid director, should he leave employment at the end of the financial year, is £39,900 *(2006 £39,900)* The number of directors accruing benefits under the pension scheme is two *(2006 four)*

6. INTEREST PAYABLE AND RECEIVABLE

Interest payable	29 Dec 2007 £000	30 Dec 2006 £000
Interest Payable	(95)	(220)
Interest charge on finance lease payments	(16)	-
	(111)	(220)

Interest receivable	29 Dec 2007 £000	30 Dec 2006 £000
Bank interest	66	26
	66	26

7. TAX ON LOSS ON ORDINARY ACTIVITIES

	29 Dec 2007 £000	30 Dec 2006 £000
UK Corporation tax		
Current period	(10,161)	(26,094)
Adjustments relating to prior periods	-	-
Current tax credit	(10,161)	(26,094)
Deferred tax – Current year	2,971	(3,012)
Prior year**	(14,423)	-
Change of rate*	964	-
Tax credit on loss on ordinary activities	(20,649)	(29,105)

7. TAX ON LOSS ON ORDINARY ACTIVITIES CONTINUED

Factors affecting current period corporation tax

	2007	2006
The current corporation tax credit, as a percentage of loss on operating activities before taxation, is calculated at	**(64.41%)**	35 6%

The current period corporation tax credit for the period is higher *(2006 higher)* than the standard rate of corporation tax relief of 30% for the following reasons

	29 Dec 2007 £000	30 Dec 2006 £000
Loss on ordinary activities before taxation for the period	**(33,691)**	(75,145)
Loss on ordinary activities before taxation for the period multiplied by the standard rate of corporation tax in the UK of 30% *(2006 30%)*	**(10,107)**	(22,544)
Expenses not deductible for tax purposes	**728**	344
Deprecation in excess of capital allowance	**(967)**	4,237
Movement in short-term timing differences	**(6)**	4,561
Losses not taken		2,177
Profit/ (loss) on disposals of non – qualifying fixed assets	**191**	(14,873)
Current tax charge for the year	**(10,161)**	(26,094)

*On 26 June 2007 the House of Commons approved the Finance Bill which reduces the UK standard rate of Corporation tax from 30% to 28% with effect from 1 April 2008 The deferred tax asset has been recognised at 28%
** As the financial conditions of the Group has improved significantly over the period, the deferred tax asset of £14 4m has now been recognised Given the size and one- off nature, this deferred credit has been treated as an exceptional item

Factors that may affect future tax charges
It is expected that the effective rate of corporation tax will stabilise at around 30%

8. TANGIBLE FIXED ASSETS

	Leasehold Properties under 50 years	Plant and machinery	Fixtures and fittings	Assets in course of construction	Total
	£000	£000	£000	£000	£000
Cost					
At 30 December 2006	6,400	78,844	5,137	1,437	91,818
Additions	1,775	2,825	6	4,164	7,331
Disposals	-	(60)	-	-	(60)
At 29 December 2007	**8,175**	**81,608**	**5,142**	**4,164**	**99,089**
Depreciation:					
At 30 December 2006	3,703	71,282	3,858	-	78,843
Charge for the period	197	5454	539	-	6,191
Impairment charge (note 4)	-	-	-	-	-
Disposals	-	(45)	-	-	(45)
At 29 December 2007	**3,900**	**76,691**	**4,397**		**84,988**
Net book value					
At 29 December 2007	**4,275**	**4,918**	**745**	**4,163**	**14,101**
At 30 December 2006	2,697	7,562	1,279	1,437	12,975

Analysis of assets held under finance leases	**29 December 2007**		30 December 2006	
	Plant, machinery & vehicles £000	**Assets in Course of Construction £000**	Plant, machinery & vehicles £000	Assets in Course of Construction £000
Cost	-	**3,050**	-	-
Accumulated depreciation	-	**0**	-	-
Net book value	-	**3,050**	-	-

GALIFORM CORPORATE SERVICES LIMITED
NOTES TO THE FINANCIAL STATEMENTS
FOR THE 52 WEEKS ENDED 29 DECEMBER 2007

9. INVESTMENTS

Cost	Shares in ultimate parent £000	Total £000
At 30 December 2006	72,398	72,398
Disposals	(5,182)	(5,182)
At 29 December 2007	**67,216**	**67,216**
Provisions		
At 30 December 2006	(18,742)	(18,742)
At 29 December 2007	(18,742)	(18,742)
Net book value		
At 29 December 2007	**48,473**	**48,473**
At 30 December 2006	53,656	53,656

Employee Share Schemes
The Company maintains three employee share ownership trusts, which hold shares in Galiform Plc These are summarised as follows

	Shareholding (No of shares)	Value on 29 Dec 2007 £000	Dividends Waived
Galiform Employee Share Trust	35,463,822	32,626,716	Yes
Galiform Employee Benefit Trust	190,000	174,800	No
Galiform Free share Trust	1,122,225	1,032,447	No
Individual nominee accounts	88,723	81,625	Some

As at 29 December 2007, 100% of the above shares were allocated to existing options awards

The trusts have been funded by the employing companies in the Group to acquire shares in Galiform Plc The cost of running these trusts is included in the profit and loss account The Trusts have undertaken the following activities

Galiform Employee Share Trust
- to transfer shares to executive directors when shares vest under the Galiform Performance Share Plan
- to transfer shares to employees on exercise of various options granted under (i) an unapproved share option scheme and (ii) the Galiform Performance Share Plan

Galiform Employee Benefit Trust
- to transfer shares to employees under the Galiform Group Profit Sharing Trust

Galiform Free share Trust
- to transfer shares to employees when shares vest under the Galiform Free share Plan

10. DEBTORS

Amounts falling due within one year	29 Dec 2007 £000	30 Dec 2006 £000
Trade debtors	3,918	2,139
Amounts owed by parent and fellow subsidiary undertakings	402,491	353,181
Amount owed by joint venture company EA (UK) Home Interiors Ltd	-	207
Other debtors	-	60
Other taxes and social security	-	451
Prepayments and accrued income	3,916	2,270
VAT	1,319	2,329
Corporation tax	36,161	26,001
	447,805	386,638

11. CREDITORS

Amounts falling due within one year:	29 Dec 2007 £000	30 Dec 2006 £000
Trade creditors	2,995	4,909
Amounts owed to parent and fellow subsidiary undertakings	769,112	701,269
Current portion of amounts due under finance leases	1,061	-
Other Creditors	1,363	-
Accruals	12,782	13,278
	787,312	719,456

Amounts falling due after more than one year:	29 Dec 2007 £000	30 Dec 2006 £000
Non-current portion of amounts due under finance leases	1,936	-
	784,912	719,456

12. PROVISIONS FOR LIABILITIES AND CHARGES

	Property Provision £000	Pension scheme £000	Deferred taxation £000	Total £000
At 30 December 2006	19,608	102	(3,012)	16,698
Charge/(credit) to the profit and loss account	6,989	-	(10,488)	(3,499)
At 29 December 2007	**26,597**	**102**	**(13,500)**	**13,199**

The property provision mainly covers onerous leases For any such leases, the Group provides for any shortfall between rent payable and rent receivable on any non-trading leased properties The provision is based on the period until the end of the lease, or until the Group can cover the shortfall by subletting, assigning or surrendering the lease None of the provisions are short term The property provision also includes amounts for any related shortfalls in business rates on these properties, and for dilapidations

Pension scheme is the difference between cash paid and what has been expensed to the P&L

Deferred taxation is for all timing differences which have arisen but not reversed at the balance sheet date

13. DEFERRED TAXATION

Deferred taxation provided in the accounts is as follows

	£000
At 30 December 2006	(3,012)
Charged during the period	3,935
Adjustments in respect of prior periods	(14,423)
At 29 December 2007	**(13,500)**

ANALYSIS OF DEFFERED TAX BALANCES

	29-Dec-07 £000	30 Dec 2006 £000
Short Term Timing Differences	**(8,057)**	(3,012)
Accelerated Capital Allowances	**(5,442)**	-
Total	**(13,500)**	(3,012)

14. SHARE CAPITAL

	29 Dec 2007 £000	30 Dec 2006 £000
12,500 authorised ordinary shares of £1 each	**12,500**	12,500
12,358 allotted and fully paid ordinary shares of £1 each	**12,358**	12,358

15 RECONCILIATION OF MOVEMENT IN SHAREHOLDERS' FUNDS

Movements during the period were as follows

	Share Capital £'000	Profit and Loss Reserve - restated £'000	Share-based payment reserve - restated £'000	Shareholders' Funds £'000
As at 24 December 2005 – as previously presented	12,358	(253,171)	-	(240,813)
First time adoption of FRS20	-	(6,232)	6,232	-
Opening Shareholders Funds as at 24 December 2005 restated	12,358	(259,403)	6,232	(240,813)
Amount transferred to reserves	-	(42,644)	-	(42,644)
First time adoption of FRS20	-	-	1,555	1,555
At 30 December 2006 - restated	12,358	(302,047)	7,787	(281,902)
Amount transferred to reserves	-	(13,042)	-	(13,042)
First time adoption of FRS20	-	-	2,989	2,989
As at 29 December 2007	**12,358**	**(315,089)**	**10,776**	**(291,955)**

The restatement relates to the adoption of FRS20 "Share-based payments" during the current period See note 21

16. FINANCIAL COMMITMENTS

At 29 December 2007, the annual commitments under non-cancellable operating leases were as set out below

	29 Dec 2007		30 Dec 2006	
	Property	Plant and Machinery	Property	Plant and Machinery
Operating leases which expire	£000	£000	£000	£000
Within one year	87	72	165	64
Between two and five years	1,261	51	1,715	118
Over five years	12,108	0	12,338	-
	13,455	123	14,218	182

17. FINANCE LEASES

	29 December 2007	30 December 2006
The finance lease obligations are repayable as follows	£000	£000
Current liabilities		
Within one year	1,061	-
Non-current liabilities		
In the second year	1,098	-
In the third to fifth years inclusive	838	-
Total finance lease obligations	2,997	-

All finance lease obligations are in sterling They are at a fixed interest rate of 4 5 % The finance lease obligations are unsecured, to be updated based on the facts The average remaining lease term is 3 years and 3 months

Reconciliation of total future minimum lease payments to their present value

	Minimum lease payments		Present value of minimum lease payments	
	29 December 2007	30 December 2006	29 December 2007	30 December 2006
	£000	£000	£000	£000
Amounts payable under finance leases				
Within one year	1,147	-	1,061	-
In the second year	1,154	-	1,098	-
In the third to fifth years inclusive	866	-	838	-
	3,167	-	2,997	-
Less future finance charges	(171)	-		
Present value of lease obligations	2,997	-		
Disclosed as				
Current	1,061	-		
Non-current	1,936	-		
	2,997	-		

18. CONTINGENT LIABILITIES

The Group has guaranteed a US$ 10m (2006 US$ 10 0m) letter of credit facility from Standard Chartered Bank in favour of Howden Kitchens (Asia) Limited's suppliers This contingency would only trigger in the event that Howden Kitchens Asia fails to honour its obligations under the terms of the facility

Members of the Group have assigned UK property leases in the normal course of business Should the assignees fail to fulfil any obligations in respect of these leases, members of the Group will be liable for those defaults The number of claims arising to date has been small and the cost, which is charged to income as it arises, has not been material

There is a Group VAT registration cross-guarantee under which if one Group company fails to pay its VAT then the other Group companies are jointly and severally liable The amount outstanding on this guarantee at the period end is £11 3m (2006 £19 0m)

The Company, together with other Group companies, has guaranteed the Group's obligations under the Group bank facility

19. PENSIONS

i) Defined contribution pensions

The Group operates a defined contribution scheme for its employees The assets of this scheme are held separately from those of the Group, and are under the control of the scheme trustees This scheme began operation during 2006 The total cost charged to income in respect of this scheme in the current period of £45,115 (2006 £0 2m) represents the Group's contributions due and paid in respect of the period

ii) Defined benefit pensions

The Company participates in the Galiform Plc Group retirement benefit plan This is a defined benefit multi-employer arrangement, which operates through two funded pension schemes which provide benefits based on the final pensionable pay of participating employees The assets of the schemes are held separately from those of the Group, being invested with independent fund managers The Company is unable to identify its share of the underlying assets and liabilities of the schemes and accordingly accounts for the schemes as if they were defined contribution schemes This is the prescribed treatment in FRS 17 *"Retirement Benefits"*

Further information about the Galiform plc defined benefit retirement benefit schemes is available in the Galiform Plc statutory accounts The latest actuarial valuation of the Group defined benefit schemes was carried out at 6 April 2005 by the scheme actuary This was subsequently rolled forward to 29 December 2007 by the actuary advising the Group, and restated on a basis consistent with market conditions at that date This exercise showed a scheme deficit at 29 December 2007 of £83 5m (2006 £189 2m), before netting off the associated deferred tax asset The roll-forward was done according to the requirements of International Accounting Standard 19 "Employee Benefits" ("IAS 19", under which the Galiform Group reports its results), rather than FRS 17 (under which this Company reports its results) However, management have no reason to believe that there would be any significant difference between a valuation under FRS17 and one under IAS 19 Further details are given in the consolidated financial statements of Galiform Plc

The Company's defined benefit pension charge for the year was £9,287,529 *(2006 £12,149,000)* There were no outstanding contributions at the period end

The Group has adopted IFRS with effect from 26 December 2004, and therefore the Group consolidated financial statements disclose pension charges, assets, and liabilities in line with IAS 19 *"Employee Benefits"* The Group does not believe that there are any material differences between the net pension deficit and the pension charge under IAS 19, compared to under FRS17 It may therefore be useful to users of these accounts to consult the full IAS 19 disclosures given in the consolidated financial statements of Galiform Plc

20. ULTIMATE PARENT COMPANY AND RELATED PARTY TRANSACTIONS

The Company's parent company is Orchardlight Ltd and the ultimate parent company and controlling entity is Galiform Plc, formerly MFI Furniture Group Plc, both incorporated in Great Britain and registered in England and Wales

The largest and smallest group in which the results of the Company are consolidated is that headed by Galiform Plc The consolidated accounts of this group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ

The Company is exempt under FRS 8 from the requirement to disclose transactions with the group headed by Galiform Plc, on the grounds that it is a wholly owned subsidiary

21. SHARE-BASED PAYMENTS

1) Adoption of FRS20 and restatement of prior period figures

The Company has adopted FRS20 "Share-based payment" during the current period, in line with the requirements of that FRS The revised accounting policy is shown in Note 1 above As required, the Company has adopted this Financial Reporting Standard with retrospective effect, and so the results for the previous period have been restated, as shown below

Profit and loss account - 53 weeks to 25 December 2006	Operating profit £'000	Profit for financial period £'000
As previously stated	(46,039)	(149,404)
Add back share-based payment charge for 2006 under UK GAAP	4,950	4,950
Share-based payment charge for 2006 under FRS20	(1,555)	(1,555)
Incremental effect for 2006 of adopting FRS20	3,395	3,395
As restated	(42,644)	(146,009)

Movement in reserves - 53 weeks to 25 December 2006

	Profit and loss reserve £'000	Share-based payments reserve £'000
At 24 December 2005 - as previously stated	(253,171)	0
Cumulative incremental effect of adopting FRS20 retrospectively	(6,232)	6,232
At 24 December 2005 - restated	(259,403)	6,232
Profit for the period transferred to reserves - as previously stated	(46,039)	0
Add back share-based payment charge for 2006 under UK GAAP	4,950	0
Share-based payment charge for 2006 under FRS20	(1,555)	1,555
At 25 December 2006 - restated	(302,047)	7,787

In the periods before adopting FRS20, UK GAAP allowed for a company to recognise a charge for share-based payments on a different basis, based on spreading the cash cost of acquiring and issuing the underlying shares over the performance period of each share-based payment scheme. The method of calculating the share-based payment charge under FRS20 is somewhat different, and has resulted in an increase in charge when adopting FRS20

Also, in periods before adopting FRS20, UK GAAP did not require that the share-based payment charge was allocated to employing companies throughout the group, as is the case with FRS20 Therefore, prior to adopting FRS20, the whole share-based payment charge under the previous UK GAAP was taken in this company and recharged back to the other group operating companies, together with a variety of other staff and other costs

21. SHARE-BASED PAYMENTS (continued)

2) Charge for the period and details of each scheme

The Company recognised a charge of £3 3m (2006 debit of £1 6m) in respect of share-based payments during the period This charge is included as part of Staff Costs The Company has various share-based payment schemes, which are all equity-settled The main details of all schemes which existed during the period are given below

Galiform PLC, the ultimate holding company, has various share-based payment schemes, which are all equity-settled and which are offered from time to time to Galiform Group employees. The main details of all schemes which existed during the period are given below

All schemes relate to shares in Galiform PLC All references in paragraphs (1) (a) to (f), and paragraph (3) below to "the Company", share price, EPS, Total Shareholder Return ("TSR"), market price, dividend yield, and volatility refer to Galiform PLC, and its 10p ordinary shares

a) Performance Share Plan

This is a discretionary free share plan Participants have a contingent right to receive free shares with performance conditions attached, based on the company's EPS
The performance period is measured from the start of the financial period in which the awards are granted The performance period is three years Vesting occurs at the end of the performance period
i)Performance is measured relative to a Comparator Group of 12-14 companies 40% of the award vests if Total Shareholder Return ("TSR") is at median level compared to the Comparator Group over the performance period, subject to a condition that EPS must also grow by at least 9% 100% of the award vests if TSR is at upper quartile level and the EPS growth condition is also satisfied The award vests on a straight-line basis between these maximum and minimum points
ii) no other condition other than continued employment
iii) 50% of the Options shall be exercisable if the compound annual growth in the Group's Operating Profit over the performance period is at least 10% rising to 100% if compound annual growth over the same period is at least 20%
iv) 25% of the award will vest if 2010 PBT of £110 million is achieved 100% will vest if 2010 PBT of £135 million is achieved The awards will vest on a sliding scale between these two points

b) Deferred Bonus Plan

Participants defer their cash bonus into shares for a period of three years Participants have no entitlement to dividends during the deferral period There are no performance conditions attached The shares vest at the end of the three year holding period

21. SHARE-BASED PAYMENTS (continued)

c) Senior Management Co-investment Plan

This is a co-investment plan whereby employees can defer their cash bonus into shares ("commitment shares") or pay cash to the company to buy shares at market value ("top up shares") The employee receives dividends on these shares

The plan awards a number of matching shares, equal to 1 5 times the number of commitment and top-up shares Participants are not entitled to dividends on the matching shares This plan vests three years from the date of grant

There are two subdivisions The first vests at 40% if there is an EPS growth of RPI plus 10% over the performance period, and at 100% if there is an EPS growth of RPI plus 20% over the performance period The second vests at 50% if if there is an EPS growth of RPI plus 80% over the performance period, and at 100% if there is an EPS growth of RPI plus 100% over the performance period Both awards vest on a straight-line basis between these maximum and minimum points

EPS growth performance is measured from the start of the financial year in which the awards were granted The performance period is three years

d) 2007 Executive Co-investment Plan

This is a co-investment plan where each participant is permitted to invest a limited amount of shares on an annual basis for the purposes of the Plan

At the end of a three year performance period, each invested share will be matched by an award of up to three matching shares if 2010 PBT of £135m is achieved, 25 percent of the maximum match (i e 0 75 1) will be earned for achieving 2010 PBT of £110 million and the awards will vest on a sliding scale between these two points A further match of up to two shares will be made for achieving upper quartile Total Shareholder Return (TSR), measured against the FTSE 250 Index (excluding investment trusts)

e) Foundation Plan

This plan awards nil-cost options, and also options with an exercise price equal to the market price at the date of grant

2006 Awards
These vested on the last day of the 2005/06 financial year, as the performance conditions were met There is a further deferral period of two years before the awards are made available to the participants

Vesting of awards granted in the form of nil-cost options depended on the achievement of a share price hurdle over thirty consecutive dealing days 15% of the award vests for the achievement of 95 pence and 100% of the award vests for the achievement of 125 pence The award vests on a straight line basis between these two points

Vesting of awards granted in the form of options with an exercise price equal to the market price at the date of grant vest depended on the achievement of a share price hurdle over thirty consecutive dealing days The exercise price of the options granted in 2006 was 92p 35% of this award vests if the share price achieves 115 pence over thirty consecutive dealing days, and 100% of the award vests if the share price achieves 160 pence over thirty consecutive dealing days The award vests on a straight line basis between these two points

21. SHARE-BASED PAYMENTS (continued)

e) Foundation Plan

2007 Awards
These awards were granted in the form of nil cost options and vested on the last day of the 2006/7 financial year to the degree that the performance conditions had been met There is a further deferral period of two years before the vested awards are made available to the participants

Vesting was dependant upon the achievement of a share price hurdle over thirty consecutive dealing days and an underlying profit target of £65m for the year being met 20% of the award vests if the share price achieves 150 pence over thirty consecutive dealing days and 100% of the award vests if the share price achieves 185 pence over thirty consecutive dealing days The award vests on a straight line basis between these two points

f) Executive Share Options

This is a discretionary share option plan These options are granted with an exercise price equal to market value

The vesting period is three years from the date of grant with an exercise period of seven years (i e a total life of ten years) In the information below, these options have been further subdivided according to their different via performance conditions, in order to give more meaningful information The different subdivisions and performance conditions are explained in more detail next to the relevant table below

g) Share Incentive Scheme (Freeshares)

This is an 'all-employee' share incentive plan whereby participants receive a grant of free shares in the Company If the employees are still employed by the Group three years after the grant, then the shares vest Dividends are paid out on the shares between award date and vesting date There are no other performance conditions attached to these awards

h) SAYE (Sharesave)

This is a save as you earn scheme for all employees whereby participants receive an option to purchase shares at a later date at a price equal to the market price at grant date The term of these schemes is five years

21. SHARE-BASED PAYMENTS (continued)

3) Movements in the period

The following tables show the number and weighted average exercise prices ("WAEP") of each category of share options during the period, and the movements in each category The significance of options granted before 7 November 2002 is that they have been excluded from the IFRS2 share-based payment charge on the basis of their date of grant, as allowed on adoption of IFRS and as further explained in note 33

a) Performance Share Plan

(i) 40% of the award vests if Total Shareholder Return ("TSR") is at median level compared to the Comparator Group over the performance period, subject to a condition that EPS must also grow by at least 9%. 100% of the award vests if TSR is at upper quartile level and the EPS growth condition is also satisfied. The award vests on a straight-line basis between these maximum and minimum points

	52 weeks to 29 December 2007 Number	**52 weeks to 29 December 2007 WAEP (£)**	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	**1,786,355**	**0.00**	4,036,963	0 00
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**(697,509)**	**0.00**	(2,250,608)	N/A
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**1,088,846**	**0.00**	1,786,355	0 00
Exercisable at end of period	**1,088,846**	**0.00**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.04**		1 04	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**0.00**		0 00	
- to	**0.00**		0 00	

21. SHARE-BASED PAYMENTS (continued)

a) Performance Share Plan	52 weeks to 29 December 2007	52 weeks to 29 December 2007	53 weeks to 30 December 2006	53 weeks to 30 December 2006
ii) no other condition other than continued employment	**Number**	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**0**	**N/A**	0	0 00
Granted in period	**5,500**	**0.00**	0	N/A
Lapsed in period	**(500)**	**0.00**	0	N/A
Exercised in period	**(1,000)**	**0.00**	0	N/A
In issue at end of period	**4,000**	**N/A**	0	N/A
Exercisable at end of period	**0**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**1.15**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**2.42**		N/A	
Weighted average fair value of options granted during the period (£)	**1.51**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**0.00**		N/A	
- to	**0.00**		N/A	

a) Performance Share Plan	52 weeks to 29 December 2007	52 weeks to 29 December 2007	53 weeks to 30 December 2006	53 weeks to 30 December 2006
iii) 50% of the Options shall be exercisable if the compound annual growth in the Group's Operating Profit over the performance period is at least 10% rising to 100% if compound annual growth over the same period is at least 20%.	**Number**	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**0**	**N/A**	0	N/A
Granted in period	**260,197**	**0.00**	0	N/A
Lapsed in period	**0**	**N/A**	0	N/A
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**260,197**	**0.00**	0	N/A
Exercisable at end of period	**0**	**N/A**	N/A	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		N/A	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**2.42**		N/A	

21. SHARE-BASED PAYMENTS (continued)

a) Performance Share Plan	**52 weeks to 29 December 2007**	**52 weeks to 29 December 2007**	53 weeks to 30 December 2006	53 weeks to 30 December 2006
iii) 50% of the Options shall be exercisable if the compound annual growth in the Group's Operating Profit over the performance period is at least 10% rising to 100% if compound annual growth over the same period is at least 20%	**Number**	**WAEP (£)**	Number	WAEP (£)
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**0.00**		N/A	
- to	**0 00**		N/A	
In issue at end of period	**0**	**N/A**	0	

a) Performance Share Plan

iv) 25% of the award will vest if 2010 PBT of £110 million is achieved. 100% will vest if 2010 PBT of £135 million is achieved. The awards will vest on a sliding scale between these two points.	**52 weeks to 29 December 2007**	**52 weeks to 29 December 2007**	53 weeks to 30 December 2006	53 weeks to 30 December 2006
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**0**	**N/A**		N/A
Granted in period	**265,124**	**0.00**	0	N/A
Lapsed in period	**0**	**N/A**	0	N/A
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**265,124**	**0 00**	0	N/A
Exercisable at end of period	**0**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**3.00**		N/A	
Weighted average fair value of options granted during the period (£)	**1.08**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**0.00**		N/A	
- to	**0 00**		N/A	

21. SHARE-BASED PAYMENTS (continued)

b) Deferred Bonus Plan	52 weeks to 29 December 2007	52 weeks to 29 December 2007	53 weeks to 30 December 2006	53 weeks to 30 December 2006
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	512,425	0 00	577,077	0 00
Granted in period	187,181	0.00	285,795	0 00
Lapsed in period	0	N/A	(49,769)	0 00
Exercised in period	(55,799)	0.00	(300,678)	0 00
In issue at end of period	643,807	0 00	512,425	0 00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		1.64		0 99
Weighted average contractual life remaining for share options outstanding at the period end (years)	1.28		1 66	
Weighted average fair value of options granted during the period (£)	1.42		1 00	
Range of exercise prices for options outstanding at the period end (£)				
- from	0.00		0 00	
- to	0.00		0 00	

c) Senior Management Co-investment Plan	52 weeks to 29 December 2007	52 weeks to 29 December 2007	53 weeks to 30 December 2006	53 weeks to 30 December 2006
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	111,412	0.00	420,970	0 00
Granted in period	0	N/A	0	N/A
Lapsed in period	(38,980)	0 00	(299,159)	0 00
Exercised in period	0	N/A	(10,399)	0 00
In issue at end of period	72,432	0 00	111,412	0 00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		0 67
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.25		0 99	
Weighted average fair value of options granted during the period (£)	N/A		N/A	

21. SHARE-BASED PAYMENTS (continued)

c) Senior Management Co-investment Plan	**52 weeks to 29 December 2007**	**52 weeks to 29 December 2007**	53 weeks to 30 December 2006	53 weeks to 30 December 2006
Range of exercise prices for options outstanding at the period end (£)				
- from	**0.00**		0 00	
- to	**0.00**		0 00	

d) (i) 2007 Executive co-investment plan - PBT target	**52 weeks to 29 December 2007 Number**	**52 weeks to 29 December 2007 WAEP (£)**	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	**0**	**N/A**	0	0 00
Granted in period	**5,070,000**	**0.00**	0	N/A
Lapsed in period	**0**	**N/A**	0	0 00
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**5,070,000**	**0.00**	0	N/A
Exercisable at end of period	**0**	**N/A**	N/A	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		N/A	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**3.00**		N/A	
Weighted average fair value of options granted during the period (£)	**1.08**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**0 00**		N/A	
- to	**0.00**		N/A	

21 SHARE-BASED PAYMENTS (continued)

d) (ii) 2007 Executive co-investment plan - TSR target	**52 weeks to 29 December 2007**	**52 weeks to 29 December 2007**	53 weeks to 30 December 2006	53 weeks to 30 December 2006
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**0**	**N/A**	0	0 00
Granted in period	**3,380,000**	**0.00**	0	N/A
Lapsed in period	**0**	**N/A**	0	0 00
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**3,380,000**		0	N/A
Exercisable at end of period	**0**	**N/A**	N/A	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		N/A	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**3 00**		N/A	
Weighted average fair value of options granted during the period (£)	**0.55**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**0.00**		N/A	
- to	**0.00**		N/A	

e) Foundation Plan

i) 2006 award: nil-cost options	**52 weeks to 29 December 2007**	**52 weeks to 29 December 2007**	53 weeks to 30 December 2006	53 weeks to 30 December 2006
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**2,375,000**	**0.00**	0	N/A
Granted in period	**0**	**N/A**	2,375,000	0 00
Lapsed in period	**0**	**N/A**	0	N/A
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**2,375,000**	**0.00**	2,375,000	0 00
Exercisable at end of period	**0**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**0.00**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.00**		0 00	
Weighted average fair value of options granted during the period (£)	**N/A**		0 52	
Range of exercise prices for options outstanding at the period end (£)				

21. SHARE-BASED PAYMENTS (continued)

e) Foundation Plan

i) 2006 award: nil-cost options	**52 weeks to 29 December 2007 Number**	**52 weeks to 29 December 2007 WAEP (£)**	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
Range of exercise prices for options outstanding at the period end (£)				
- from	**0.00**		0 00	
- to	**0.00**		0 00	

e) Foundation Plan

ii) 2006 award: market-value options	**52 weeks to 29 December 2007 Number**	**52 weeks to 29 December 2007 WAEP (£)**	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	**5,980,000**	**0.92**	0	N/A
Granted in period	**0**	**N/A**	5,980,000	0 92
Lapsed in period	**(2,875,516)**	**0.92**	0	N/A
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**3,104,484**	**0.92**	5,980,000	0 92
Exercisable at end of period	**3,104,484**	**0.92**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.00**		0 00	
Weighted average fair value of options granted during the period (£)	**N/A**		0 16	
Range of exercise prices for options outstanding at the period end (£)				
- from	**0.92**		0 92	
- to	**0.92**		0 92	

e) Foundation Plan

iii) 2007 award: nil-cost options	**52 weeks to 29 December 2007 Number**	**52 weeks to 29 December 2007 WAEP (£)**	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	**0**	**N/A**	0	N/A
Granted in period	**2,050,000**	**0.00**	0	N/A

21. SHARE-BASED PAYMENTS (continued)

e) Foundation Plan

iii) 2007 award: nil-cost options	52 weeks to 29 December 2007	52 weeks to 29 December 2007	53 weeks to 30 December 2006	53 weeks to 30 December 2006
Lapsed in period	0	N/A	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	2,050,000	0.00	0	N/A
Exercisable at end of period	0	0.00	N/A	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		N/A	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0.00		N/A	
Weighted average fair value of options granted during the period (£)	1.01		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0.00		N/A	
- to	0.00		N/A	

f) Executive Share Options

i) 20% vesting for median TSR and EPS growth of RPI+10%, rising to 50% for upper quartile TSR and EPS+RPI+20%; and in addition a further 20% vesting if EPS growth of RPI + 10% pa, rising to 50% for EPS growth RPI + 20% pa.	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	264,517	1.55	380,378	1 47
Granted in period	0	N/A	0	N/A
Lapsed in period	(264,517)	1.55	(115,861)	1 30
Exercised in period	0	N/A	0	N/A
In issue at end of period	0	N/A	264,517	1 55
Exercisable at end of period	N/A	N/A	92,467	1 46
Number of options in the closing balance that were granted before 7 November 2002	N/A		0	
Weighted average share price for options exercised during the period		0.00		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	N/A		0 29	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0.00		1 46	
- to	0.00		1 60	

21. SHARE-BASED PAYMENTS (continued)

f) Executive Share Options

ii) 40% vesting if EPS growth = RPI+40% rising to 100% vesting if EPS growth = RPI+100%	**52 weeks to 29 December 2007**	**52 weeks to 29 December 2007**	53 weeks to 30 December 2006	53 weeks to 30 December 2006
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**1,437,977**	**1.07**	3,123,116	1 07
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**0**	**N/A**	(1,558,969)	1 07
Exercised in period	**(177,481)**	**1.07**	(126,170)	1 07
In issue at end of period	**1,260,496**	**1.07**	1,437,977	1 07
Exercisable at end of period	**0**	**N/A**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**N/A**		1 23
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.42**		1 42	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**1.07**		1 07	
- to	**1.07**		1 14	

f) Executive Share Options

iii) 50% vesting if EPS growth is 60% and 100% vesting if EPS is 120%	**52 weeks to 29 December 2007**	**52 weeks to 29 December 2007**	53 weeks to 30 December 2006	53 weeks to 30 December 2006
	Number	**WAEP (£)**	Number	WAEP (£)
In issue at beginning of period	**2,578,303**	**1.11**	4,302,467	1 05
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**(721,443)**	**1.25**	(367,019)	1 31
Exercised in period	**(791,209)**	**1.47**	(1,357,145)	0 86
In issue at end of period	**1,065,651**	**1.27**	2,578,303	1 11
Exercisable at end of period	**1,065,651**	**1.26**	2,578,303	1 11
Number of options in the closing balance that were granted before 7 November 2002	**1,065,651**		5,189,279	
Weighted average share price for options exercised during the period		**1.47**		1 22
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.00**		0 00	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	

21. SHARE-BASED PAYMENTS (continued)

f) Executive Share Options

iii) 50% vesting if EPS growth is 60% and 100% vesting if EPS is 120%	**52 weeks to 29 December 2007 Number**	**52 weeks to 29 December 2007 WAEP (£)**	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
Range of exercise prices for options outstanding at the period end (£)				
- from	**1 25**		0 68	
- to	**1 32**		1 32	

f) Executive Share Options

iv) No other performance conditions except continued employment	**52 weeks to 29 December 2007 Number**	**52 weeks to 29 December 2007 WAEP (£)**	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	**63,466**	**42.00**	155,225	0 42
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**0**	**N/A**	(23,493)	0 42
Exercised in period	**(63,466)**	**0.42**	(68,267)	0 42
In issue at end of period	**0**	**N/A**	63,466	N/A
Exercisable at end of period	**0**	**N/A**	63,466	0 42
Number of options in the closing balance that were granted before 7 November 2002	**N/A**		63,466	
Weighted average share price for options exercised during the period		**1.43**		1 24
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.00**		0 00	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**0.42**		0 42	
- to	**0.42**		0 42	

21. SHARE-BASED PAYMENTS (continued)

f) Executive Share Options

v) Full vesting if EPS increases by RPI + 9%	**52 weeks to 29 December 2007 Number**	**52 weeks to 29 December 2007 WAEP (£)**	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	**3,191,278**	**1.08**	6,568,451	1 13
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**(1,891,487)**	**1.19**	(2,424,482)	1 37
Exercised in period	**(1,132,861)**	**1.47**	(952,691)	0 68
In issue at end of period	**166,930**	**1.03**	3,191,278	1 08
Exercisable at end of period	**709,098**	**1.05**	1,602,979	1 07
Number of options in the closing balance that were granted before 7 November 2002	**161,930**		1,602,979	
Weighted average share price for options exercised during the period		**1.06**		1 01
Weighted average contractual life remaining for share options outstanding at the period end (years)	**0.15**		0 57	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**0.63**		0 56	
- to	**1.39**		1 60	

21. SHARE-BASED PAYMENTS (continued)

f) Executive Share Options

(vi) 20% of the options will vest if the share price over 30 consecutive dealing days is 185p rising on a straight line basis to 100% vesting if the share price over 30 consecutive days reaches 265p Underpinning this is a requirement to achieve 20% annual compound growth over the performance period.

	52 weeks to 29 December 2007 Number	52 weeks to 29 December 2007 WAEP (£)	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	0	N/A	0	N/A
Granted in period	2,763,406	1.59	0	N/A
Lapsed in period	0	N/A	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	2,763,406	1.59	0	N/A
Exercisable at end of period	0	N/A	N/A	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		N/A	
Weighted average share price for options exercised during the period		0.00		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	2.42		N/A	
Weighted average fair value of options granted during the period (£)	0.43		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	158.50		N/A	
- to	158.50		N/A	

21. SHARE-BASED PAYMENTS (continued)

g) Share incentive scheme (Freeshares)	**52 weeks to 29 December 2007 Number**	**52 weeks to 29 December 2007 WAEP (£)**	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	**6,594**	**0.00**	8,903	0 00
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**(752)**	**0.00**	(215)	0 00
Exercised in period	**(5,842)**	**0.00**	(2,094)	0 00
In issue at end of period	**0**	**N/A**	6,594	0 00
Exercisable at end of period	**N/A**	**N/A**	6,594	0 00
Number of options in the closing balance that were granted before 7 November 2002	**N/A**		6,594	
Weighted average share price for options exercised during the period		**N/A**		1 00
Weighted average contractual life remaining for share options outstanding at the period end (years)	**N/A**		0 00	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	**N/A**		0 00	
- to	**N/A**		0 00	

h) SAYE (Sharesave)	**52 weeks to 29 December 2007 Number**	**52 weeks to 29 December 2007 WAEP (£)**	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
In issue at beginning of period	**15,488**	**1.84**	25,260	1 84
Granted in period	**0**	**N/A**	0	N/A
Lapsed in period	**(3,100)**	**1.84**	(9,772)	1 84
Exercised in period	**0**	**N/A**	0	N/A
In issue at end of period	**12,388**	**1.84**	15,488	1 84
Exercisable at end of period	**0**	**1.84**	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	**0**		0	
Weighted average share price for options exercised during the period		**N/A**		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	**1.01**		2 01	
Weighted average fair value of options granted during the period (£)	**N/A**		N/A	

21. SHARE-BASED PAYMENTS (continued)

h) SAYE (Sharesave)	**52 weeks to 29 December 2007 Number**	**52 weeks to 29 December 2007 WAEP (£)**	53 weeks to 30 December 2006 Number	53 weeks to 30 December 2006 WAEP (£)
Range of exercise prices for options outstanding at the period end (£)				
- from	**1.84**		1 84	
- to	**1.84**		1 84	

3) Fair value of options granted

The fair value of all options granted except Sharesave is estimated on the date of grant using a binomial option valuation model Sharesave schemes are valued using a Black Scholes model as they are not considered to be of such complexity that they require a binomial model

The key assumptions used in the models were

	52 weeks to 29 December 2007	53 weeks to 30 December 2006
Dividend yield (%)	**2.0**	1 75 to 4 0
Expected share price volatility (%)	**36.0 to 39.0**	38 7 to 41 0
Historical volatility (%)	**36.0 to 39.0**	38 7 to 41 0
Risk-free interest rate (%)	**5 0 to 5.8**	3 8 to 5 3
Expected life of options (years)	**2.5 to 3.2**	1 0 to 6 5

Historical volatility is measured for each scheme over the period equal to the vesting period of the scheme The figure arrived at is then used as the best estimate of expected future volatility